

MORNING BRIEFING

Sunday 31 May 2026 | Generated ~07:00 BST | Pre-open briefing for Monday 2 June 2026 | **Markets closed today — covers Friday 29 May close + weekend developments**

2. IMPORTANT NEWS — WEEKEND & OVERNIGHT

US and Iran reach tentative ceasefire extension deal; Strait of Hormuz status disputed

Source: [CNN / Washington Post](#) — 28–29 May 2026

Why it matters: A formal agreement would reopen the Strait of Hormuz, cutting oil transport risk premiums and pulling Brent lower — a direct tailwind for European transport and consumer stocks, and relief on inflation. Sticking points remain on Iran's nuclear program; Trump has not yet signed off. US military flagged it remains "ready to resume combat" (29 May). Deal uncertainty keeps oil vol elevated.

ECB June rate hike all but priced in; markets see +50 bps by end-2026

Source: [Bloomberg / ECB official communication](#) — May 2026

Why it matters: ECB held rates on 30 April but stated upside inflation risks have "intensified." Eurozone CPI hit 3.0% in April (from 2.6% in March). Survey consensus now expects two 25 bps hikes in June and September. European bond supply near record highs; rate-hike path adds duration risk in the primary market window.

S&P 500 Q1 2026 earnings growth confirmed at +28.4% YoY — strongest since Q4 2021

Source: [FactSet](#) — late May 2026

Why it matters: Strong earnings season underpins equity valuations at S&P near 7,580. Market focus now shifts to outlook guidance under sticky US inflation (headline CPI 3.8% in April) and Fed paralysis with Kevin Warsh as incoming chair.

Kevin Warsh confirmed as next Federal Reserve Chair; Jerome Powell to stay as Governor

Source: [Bloomberg](#) — May 2026

Why it matters: Warsh is considered more hawkish on inflation. BofA has pushed its first Fed cut call to H2 2027. 10Y US yield already at 4.45% — incoming leadership tone matters for the next FOMC meeting and credit market appetite.

UK shop price inflation jumps to 1.2% YoY in May, above consensus 1.0%

Source: [BRC data](#) — May 2026

Why it matters: Driven by high shipping and raw material costs tied to Middle East conflict. Complicates Bank of England rate path ahead of Tuesday's BoE Governor speech (June 2 calendar). GBP sensitivity elevated.

3. EUROPEAN FUTURES — PRE-OPEN MONDAY 2 JUNE 2026

Data collected Sun 31 May ~07:00 BST. Friday close levels shown for reference. Monday futures imply marginal upside on Iran deal optimism.

INDEX	FRIDAY CLOSE	FUTURES INDICATION	EXPECTED MOVE	NOTE
Euro Stoxx 50	6,065	~6,077	+0.2%	Iran deal optimism; ECB hike risk caps upside
DAX	25,105	~25,155	+0.2%	Germany retail sales data Monday
CAC 40	n/a	n/a	n/a	Data unavailable at collection time
FTSE 100	10,409	~10,395	-0.1%	UK inflation surprise may weigh; BoE watch
S&P 500 (futures)	7,580	~7,590	+0.1%	US ISM Manufacturing PMI due Monday
Nasdaq (futures)	26,973	~26,995	+0.1%	Tech steady; AI sentiment supportive

4. EUROPEAN CLOSURES — FRIDAY 30 MAY 2026

Source: Reuters / Trading Economics / CNBC — collected Fri 30 May 17:30 BST

INDEX	CLOSE	CHANGE	% CHANGE	COMMENT
Euro Stoxx 50	6,065	+18	+0.30%	Softer-than-expected Eurozone inflation data
STOXX 600	626.5	+1.3	+0.20%	Broad-based gains; energy lagged on oil drop
DAX	25,105	+13	+0.05%	Industrials flat; autos mixed
FTSE 100	10,409	-17	-0.16%	Energy sector drag; shop inflation surprise
CAC 40	n/a	n/a	n/a	Data unavailable at collection time

5. US MARKETS — FRIDAY 30 MAY 2026 SESSION

Source: CNBC / Trading Economics — collected Fri 30 May ~22:00 BST

INDEX	CLOSE	CHANGE (PTS)	% CHANGE
S&P 500	7,580.06	+16.43	+0.22%
Nasdaq Composite	26,972.62	+55.15	+0.20%
Dow Jones IA	51,032	+363	+0.72%

Session tone: Cautiously constructive. Dow outperformed on rotation into value and financials. S&P and Nasdaq gained modestly as markets digested the AI rally sustainability debate and Middle East ceasefire news.

Leading sectors: Financials (yield curve steepening), Industrials (defense spending), Consumer Discretionary (China trade optimism).

Lagging sectors: Energy (Brent fell 1.7% on Iran deal reports); Utilities (rate-hike fears).

Key takeaway: S&P near record despite 3.8% CPI and 4.45% 10Y yield — earnings growth (+28.4% Q1) and Iran optimism override macro headwinds for now. Iran deal outcome is the binary for Monday.

6. ASIAN MARKETS — FRIDAY 30 MAY 2026 (LAST TRADING SESSION)

Asian markets closed Friday. Monday session opens ahead of European open. Source: CNBC — collected Fri 30 May

INDEX	LEVEL	% CHANGE (FRI)	NOTE
Nikkei 225	66,330	+2.53%	Sharp rally; BoJ governor speech Wednesday catalyst
Kospi (Korea)	8,476	+3.0%+	Tech exporters surged; Samsung, SK Hynix led
Hang Seng	n/a	+0.55%	Late gains; property sector tentative
Shanghai CSI 300	4,892	-0.45%	Manufacturing data disappointed; trade uncertainty

Overall tone: Mixed with a positive skew outside China. Japan and Korea rallied strongly driven by AI/tech demand and easing geopolitical risk premium. China underperformed on weak manufacturing signals. Monday's China PMI release is a key data point for the Asian open.

7. COMMODITIES

Source: OilPrice.com / TradingEconomics / Bloomberg — collected Fri 29–30 May 2026

COMMODITY	LEVEL	CHANGE	NOTE
Brent Crude	\$91.12 / bbl	-1.70%	Iran ceasefire deal reports triggered sharp selling; supply risk premium partially unwound. Still elevated vs pre-conflict levels.
WTI Crude	\$87.36 / bbl	-1.73%	Tracking Brent. OPEC+ watch given Hormuz dynamics.
Gold	~\$4,500 / oz	Steady / slight down	Iran deal eased safe-haven bid. Still near highs — sticky inflation + geopolitical tail risk support floor. Key level: \$4,450 support.
Copper	\$6.467 / lb	+7.5% MoM	Strong monthly performance. AI data center demand and energy transition driving structural bid.
Natural Gas (HH)	~\$2.80 / MMBtu	Drifting lower	Despite Middle East tensions, Henry Hub drifted lower; LNG export capacity expansion pressuring domestic prices.

8. RATES & FX

Source: FRED / TradingEconomics / ECB / OANDA — collected Fri 29–30 May 2026

INSTRUMENT	LEVEL	CHANGE / MOVE	NOTE
US 10Y Treasury	4.45–4.46%	Down from 4.67% peak	Retreating from 16-month high of 4.67% (May 20) as Iran deal eases inflation outlook. BofA sees no Fed cut until H2 2027.
German Bund 10Y	~2.90%	-10 bps MoM	Lowest since mid-March. ECB rate hike expected in June — paradox of falling yields pre-hike reflects demand for duration amid record supply.
EUR / USD	~1.163	Steady (near 2-wk lows)	Euro weakened after ECB held rates Apr 30; recovered modestly. ECB June hike should support. Range: 1.155–1.180.
GBP / USD	~1.343	~Flat	UK shop CPI surprise (1.2%) hawkish for BoE. BoE Governor speech Tuesday a key near-term catalyst.
DXY (Dollar Index)	~99.0	+1% MoM	Near 2-week low intraday Friday after Iran deal reports. Dollar ended May ~1% higher. Warsh appointment hawkish medium-term for USD.

9. DCM — PRIMARY BOND MARKET

9A. YESTERDAY'S ISSUANCES (FRIDAY 30 MAY / LAST WEEK)

Source: IFR / GlobalCapital / ICMA — collected Fri 30 May 2026. Note: specific deal terms unavailable via public sources at collection time.

ISSUER / MARKET	SIZE	TENOR	COUPON / SPREAD	IPT TIGHTENING
EU Bonds (SSA) — H1 2026 programme	EUR 90bn target (H1)	Various	n/a	n/a

Specific Friday 30 May deal terms not confirmed by public sources at collection time. European primary issuance volumes remain elevated with gross government supply near EUR 1.4tn in 2026. Check IFR/GlobalCapital for final deal terms.

9B. PIPELINE / EXPECTED THIS WEEK

ECB rate hike risk (June meeting): Expected to constrain deal volumes in the week ahead. Issuers with mandates may accelerate execution before the June 5 NFP data and pre-ECB blackout. Corporate IG window remains open but investor selectivity is high.

SSA supply: European government gross issuance on track for near-record 2026. Germany (net supply EUR 5.2bn) and France (net supply EUR 5.3bn) largest contributors. ECB QT withdrawal reduces demand buffer.

Corporate IG / HY: No specific mandated deals confirmed at collection time. Geopolitical and rate uncertainty suppresses HY pipeline. IG market functional but deals face wider NIPs.

9C. KEY SPREADS

INDEX	LEVEL (APPROX)	MOVE	DIRECTION
iTraxx Main (IG)	n/a	n/a	Not confirmed — check Bloomberg
iTraxx Crossover (HY)	~300–310 bps	Widened to >300 (May 12)	Widening — risk-off on Iran / rate hike fears
CDX IG (US)	n/a	n/a	Not confirmed — check Bloomberg
Avg Euro Corp IG Spread	n/a	n/a	Not confirmed — check Bloomberg

9D. COMMENTARY

The European primary market window remains conditionally open but is narrowing ahead of the June ECB meeting and NFP Friday. Crossover spreads above 300 bps signal investor caution on HY credits — this is the highest level since June 2025. IG issuers retain access, but concession costs are rising and orderbook quality is patchy. The Iran deal, if confirmed, would partially tighten spreads by easing the geopolitical risk premium embedded in energy credits and logistics names. Financials (banks) remain the most active issuer segment supported by strong Q1 earnings; industrials and energy credits face wider secondary spreads that pressure new-issue pricing.

10. ECONOMIC CALENDAR — WEEK OF 1-7 JUNE 2026

Source: LiteFinance / Eurostat / econoday — collected Sun 31 May 2026. All times London (BST).

MONDAY 2 JUNE

TIME (BST)	INDICATOR	CONSENSUS	IMPORTANCE
02:30	China Manufacturing PMI (May)	~49.8	HIGH
07:00	Germany Retail Sales (Apr)	+0.3% MoM	MED
08:00	Switzerland GDP Q1 2026	+0.2% QoQ	MED
15:00	US ISM Manufacturing PMI (May)	~49.5	HIGH

TUESDAY 3 JUNE

10:00	Eurozone CPI Flash (May)	~2.8% YoY est.	HIGH
TBC	Bank of England Governor Speech	—	HIGH

WEDNESDAY 4 JUNE

02:30	China Services PMI (May)	~51.5	MED
TBC	Bank of Japan Governor Speech	—	MED
13:15	US ADP Employment (May)	~140k	HIGH
15:00	US ISM Services PMI (May)	~52.0	MED

THURSDAY 5 JUNE

08:30	Switzerland CPI (May)	~1.1% YoY	MED
10:00	Eurozone Retail Sales (Apr)	+0.2% MoM	MED
TBC	Bank of England Governor Speech	—	HIGH

FRIDAY 6 JUNE

13:30	US Non-Farm Payrolls (May)	~180k	HIGH
13:30	US Unemployment Rate (May)	~4.1%	HIGH

11. CORPORATE EVENTS & EARNINGS — WEEK OF 2 JUNE 2026

Source: MarketScreener / Earnings Whispers / SEC filings — collected Sun 31 May 2026

Monday 2 June — Deutsche Bank

Dividend payment date (approved at AGM). Ex-date already passed. Administrative event; minor dividend flow impact on DBK price.

Q1 2026 Earnings Season — Substantially Complete

S&P 500 Q1 EPS growth confirmed +28.4% YoY (FactSet). European earnings season broadly positive with banks leading. Focus now on guidance for H2 2026 under the inflation and rate-hike environment.

Boeing — China 737 MAX order discussions

Boeing in negotiations over a potential ~500-jet 737 MAX order from China. No confirmation. Follows record 135 net new orders in April 2026. Announcement (if any) would be a major positive catalyst for BA and the aerospace supply chain.

Rocket Lab — Q1 2026 earnings result (announced)

Record revenue of \$200.3m; backlog above \$2.2bn. 31 new Electron and HASTE launch contracts. Strong result — illustrative of defense/space sector momentum.

Klarna Group AGM

Scheduled 22 June 2026, London. Not this week but mandates watch.

Earnings Whispers — Monday 2 June

See Earnings Whispers / MarketScreener for confirmed pre-market and after-market reports on June 2. Specific names not confirmed via public sources at collection time.

12. STOCKS TO WATCH — MONDAY 2 JUNE 2026

Source: Bloomberg / CNBC / Reuters / GuruFocus — collected Sun 31 May 2026. Skew: aviation, shipping, metals & mining, A&D, banks, energy.

COMPANY / TICKER	SECTOR	REASON TO WATCH	DIRECTION
Boeing (BA)	Aerospace	Potential China order of ~500 737 MAX jets in negotiations. Record April net orders (135). Any announcement is a major catalyst.	Upside on deal news
GE Aerospace (GE)	Aerospace / Defense	Citi upgraded sector stance May 18. Engine supply chain benefits from Boeing order pipeline. Defense budget expansion to \$1.5tn FY2027 in play.	Positive bias
Brent-exposed energy stocks (BP, Shell, TotalEnergies)	Energy	Brent fell 1.7% Friday on Iran deal reports. If deal is confirmed Monday, further downside for integrated majors. Hormuz reopening = structural supply shift.	Downside risk on deal confirmation
Banco Santander (SAN)	Banking	European bank outperformance continues. ECB June hike boosts NII. Steeper yield curve supports. Top pick at Morgan Stanley and Barclays for 2026.	Positive; rate hike tailwind
ASML (ASML)	Semiconductors	Revenue growth ~15% in 2026; AI-driven lithography demand. European tech outperformer. Soitec (+639%) in same AI supply chain theme.	AI theme supportive
Copper miners (Antofagasta, Glencore)	Metals & Mining	Copper +7.5% MoM on AI data center and energy transition demand. Structural bid. Watch China PMI Monday for next catalyst.	China PMI upside = rally
Maersk / Hapag-Lloyd	Shipping	Hormuz ceasefire — if confirmed — removes routing disruption that boosted freight rates. Freight rates likely to come under pressure on deal confirmation.	Downside on Hormuz reopening
IAG / Lufthansa / Air France-KLM	Aviation	Oil -1.7% Friday. Further Brent decline = meaningful fuel cost tailwind. Aviation names under-owned in Europe; rerating potential on Iran deal.	Upside on lower fuel costs

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB June hike increasingly certain: Eurozone CPI 3.0% in April. ECB survey expects two 25 bps hikes (June + September). Rate-hike path combined with record government bond supply = duration headwind. German Bund yield paradoxically dipped to 2.9% in May — but re-steepening risk into June meeting is real.

US inflation sticky, Fed frozen: Headline CPI 3.8% in April; PPI +6% YoY. Kevin Warsh incoming as Fed chair — more hawkish than Powell. BofA pushes first cut to H2 2027. 10Y at 4.45% — still below May 20 peak of 4.67% but structurally elevated.

Italy GDP beats: Q1 2026 GDP +0.3% QoQ vs +0.2% estimate. Positive for Italian BTP spreads and domestic consumer/industrial names.

UK shop inflation surprise: +1.2% YoY in May vs +1.0% expected. Shipping cost pass-through from Middle East disruption. Complicates BoE messaging this week.

CORPORATE

Boeing China order negotiations: ~500 737 MAX jets in play. Would be a landmark deal for Boeing's civil aviation recovery. Geopolitical tail risk (US-China trade policy) remains the caveat.

EU passenger car registrations +5.1% YoY in April: Third consecutive monthly increase. EV subsidies driving volume. Positive for Volkswagen, Stellantis, Renault on demand side; ASML and battery supply chain as secondary beneficiaries.

Rocket Lab record quarter: \$200.3m revenue; backlog \$2.2bn. Reflects structural defense/space demand acceleration. Broader A&D sector well-bid.

POLITICAL / GEOPOLITICAL

Iran-US ceasefire / Hormuz deal: Tentative agreement reached May 28. Major sticking points remain (nuclear program, frozen assets). US military warned May 29 it remains "ready to resume combat." Markets treat the deal as fragile — full oil risk premium unwind requires formal signing and Hormuz reopening verification.

Trump Middle East posturing: Trump announced deal as "largely negotiated" — but Iran's foreign ministry disputed key terms (particularly Hormuz management). Asymmetric communication risk; gap-up/gap-down binary for oil on Monday morning if further statements emerge.

Defense budget: Trump proposed \$1.5tn US defense budget for FY2027 (vs \$901bn FY2026). European NATO allies accelerating own defense spending. Supports A&D equities across both continents.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5 (MONDAY 2 JUNE 2026)

- | | |
|--|---|
| 1. Iran deal confirmation | Binary for oil, energy equities, and airline/shipping names — Brent direction in the first hour will set the tone for the entire session. |
| 2. China Manufacturing PMI | Sub-50 reading would weigh on copper, miners, and Asian-exposed European industrials; beat would accelerate the metals rally. |
| 3. US ISM Manufacturing PMI | Consecutive sub-50 readings would reignite stagflation debate — negative for risk; a beat would support equities but push 10Y yield higher. |
| 4. Germany retail sales data | Indicator of Eurozone consumer health ahead of Tuesday CPI; weak print would dampen ECB hike conviction at the margin. |
| 5. Boeing China order headline risk | Any announcement — positive or negative — on the 500-jet negotiation will move BA and the aerospace supply chain sharply. |

THIS WEEK'S TOP 5 (2-6 JUNE 2026)

- | | |
|---|--|
| 1. Eurozone CPI Flash (Tue) | May CPI will seal or reopen the debate on ECB June hike magnitude — above 2.9% keeps 50 bps on the table. |
| 2. BoE Governor speeches (Tue + Thu) | UK shop inflation surprise means Pill's tone on further hikes will directly move GBP and UK gilt yields. |
| 3. US Non-Farm Payrolls (Fri) | May jobs data is the last major data point before the June Fed meeting; strong print = hawkish Warsh Fed scenario, weighing on Treasuries. |
| 4. Iran deal evolution | Each day without formal signing keeps oil vol elevated and shipping/aviation pricing uncertain. |
| 5. BoJ Governor speech (Wed) | Any signal on BoJ normalization pace impacts JPY and spills into European and US rate markets via carry unwind risk. |

THIS MONTH'S TOP 5 (JUNE 2026)

- | | |
|---------------------------------------|--|
| 1. ECB June meeting (mid-June) | First rate hike expected — will set the tone for European bond spreads, bank equities, and primary market issuance for the summer. |
|---------------------------------------|--|

2. US CPI June release	April CPI at 3.8% — if May CPI also beats, Warsh era starts with an immediate hawkish mandate and pushes 10Y toward 4.7% again.
3. Iran formal deal / Hormuz reopening	Structural oil rerating if Hormuz reopens — Brent could return to \$80s, deflationary impulse for Europe and airline/shipping sectors.
4. European government bond supply	Gross issuance near EUR 1.4tn in 2026 with reduced ECB backstop — indigestion risk is real, particularly around auction dates.
5. AI capex cycle sustainability	Nikkei +2.5%, Kospi +3%, ASML at record pace — a capex slowdown signal from a major hyperscaler would unwind the AI premium in tech and supply chain names globally.

15. KEY TRENDS TO WATCH

1 DAY — TODAY'S SESSION MOVERS

Iran deal headline risk: Any Trump or Iranian statement on Hormuz formal reopening will trigger a 2-3% move in Brent and a sharp rotation — out of energy, into airlines and shipping (bearish), and potentially into risk generally.

China PMI reaction: Release at 02:30 BST. A weak print (below 49) will hit copper and European miners before European open. Market at risk of opening with negative sentiment in materials.

European rates open: Bund yield at 2.90% — if Monday sees a pick-up driven by ECB hike repricing, it will pressure European bank-funded credits and widen spreads on the primary market open.

1 WEEK — KEY APPOINTMENTS AND THEMES

Eurozone CPI (Tue 3 June): The single most important data point this week — a high reading locks in the June ECB hike and will push EUR/USD above 1.17 and drive bank equity outperformance.

US NFP (Fri 6 June): Determines whether Warsh inherits a tight or softening labor market. Soft = gives the new Fed chair room; hot = confirms delayed cut path and weighs on bonds globally.

Primary market window: Issuers monitoring the ECB pre-meeting blackout period — the window to print deals closes as early as the week of June 9. Expect a flurry of mandates this week if rates cooperate.

1 MONTH — UNDERLYING TRENDS

Inflation stickiness in Europe and US: Both ECB and Fed facing supply-side inflation (energy, shipping) — central banks hiking into slowing growth is the underlying macro tension for June.

Structural shift in European defense spending: Trump's \$1.5tn US defense budget proposal and European NATO commitments accelerating. Multi-year capex cycle for A&D names.

AI demand driving tech and commodities: Copper, semiconductors, and data center energy all trending higher on AI infrastructure investment. Watch for any guidance warning from hyperscalers (Microsoft, Google, Amazon) as Q2 earnings approach in July.

Sources: Reuters, Bloomberg, CNBC, CNN, Washington Post, FT, TradingEconomics, FRED (St Louis Fed), ECB (ecb.europa.eu), FactSet, MarketScreener, IFR, GlobalCapital, ICMA, OilPrice.com, OANDA, LiteFinance Economic Calendar, GuruFocus, Eurostat, S&P Global Ratings.

Data collected automatically between approximately 06:00-07:30 BST on Sunday 31 May 2026. Some Friday close data sourced from Fri 30 May; futures indications are indicative pre-open estimates. iTraxx Main, CDX IG, CAC 40, and specific DCM deal terms marked n/a where no reliable public source confirmed the figure at collection time.

Data collected automatically. Verify before making any decision.